

books. From just ₹82 crore in FY22, revenue from the quick commerce segment zoomed to about ₹979 crore in FY24. Of course, there was a commensurate increase in losses because of investment—from ₹850 crore in FY22, losses rose to ₹1,919 crore in FY23 before moderating to a still high ₹1,185 crore in FY24.

Swiggy has to ensure now that it eventually turns profitable but also that Instamart takes off. According to Satish Meena, Principal Analyst at data analysis Datum Intelligence, Instamart trails Blinkit on both scale and market share. “The challenge for Swiggy is if it focuses on profitability, it can lose market share. Plus, quick commerce, with more players coming in like

marked difference between the two—a consumer could order food twice or thrice a week, but quick commerce is daily affair. “Grocery is the biggest in the overall retail pie, and it is critical for any player to get it right here. Blinkit too did not find it easy here,” points out Meena. Besides, as he says, most of the future valuations will come from quick commerce. “It is very obvious in the case of Zomato.”

Majety believes it is important for a business plan to be flexible and robust. “The fact is, things are generally very hard to predict. Food delivery is maturing, but in quick commerce, anything can happen,” he says. The potential market opportunity is determined,



Rohit Kapoor
CEO, FOOD
MARKETPLACE,
SWIGGY

“One is dealing with restaurant partners, delivery partners, and customers. All three have to be satisfied with 100% accuracy all the time on crores of orders across 700 cities”



Fabricio Bloisi
CEO, PROSUS

“Swiggy can gain from India’s resilient economic growth, rising smartphone penetration, urbanisation, rising disposable incomes, and a shift to outsourcing everyday services”

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Amazon and a very aggressive Zepto, could pose a few problems for Instamart.”

For FY24, Instamart had a loss of ₹1,185 crore, while Blinkit was in the red by ₹253 crore; Zepto’s loss figure was ₹1,248 crore. Importantly, Swiggy’s revenue is the lowest of the three.

A new front has been opened in the quick commerce battle: 10-minute food delivery. Last December, Zepto, a pure-play quick commerce entity, launched Zepto Café as a standalone app to deliver food and beverages in 10 minutes, which Meena maintains will only complicate the scenario for Swiggy. Swiggy and Zomato too have announced similar plans—Swiggy through Bolt and Zomato through Bistro. Restaurants are none too pleased about this new direction in quick commerce.

But that aside, analysts and industry insiders are united in their view that quick commerce is a much bigger opportunity than food delivery. There is a

among other things, “by one’s right to win, unlocking the consumer opportunity, and what categories lend themselves to quick commerce.” Clearly, there is no debate on the opportunity, but the stiff competition cannot be underestimated.

Besides, customer choice is not just about pricing, Meena says. It is determined by the time taken to deliver. “You don’t always compare prices like how you do in stores. The stickiness is far greater when it comes to quick commerce,” he adds.

Majety is steadfast in his approach: identify “exciting opportunities and continuously invest in them.” “For instance, food delivery in the early years was different since penetration levels were low. Look at Instamart today, and it is growing like a weed.” But the bottom line is that the businesses have to be profitable, and fast. **BT**

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